



Affle reported a strong performance in Q3FY22 which was an all-round beat on our estimates

- Revenue at INR 3,394 Mn, +24% qoq / +126% yoy and 12% above our estimate
- EBITDA at INR 676.9 Mn, +30% qoq / +76% yoy and 16% above our estimates
- EBITDA margin at 19.9% vs 18.9% / 25.5% in Q2FY22 / Q3FY21 and +70 bps vs our estimates
- EBIT at INR 578.2 Mn, +32% qoq / +74% yoy and +16% vs our estimates
- EBIT margin at 17% vs 16% / 22.1% and +60 bps vs our expectations
- Reported PAT at INR 622.9 Mn, +30% qoq / +103% yoy
Reported PAT contains INR 25 Mn of Gain on Fair Valuation of Financial Instruments and INR 5 Mn of Tax Outgo on this gain
- Reported EPS at INR 4.7 vs 3.6 / 2.3 Q2FY22 / Q3FY21
- Normalized PAT (excluding effects of Gain on Fair Value of Financial Instruments and Tax outgo) stood at INR 601 Mn +43% qoq / +96% yoy and 24% above our estimates
- Normalized EPS stood at INR 4.5 vs 3.2 / 2.3 in Q2FY22 / Q3FY21 and above our est. INR 3.6X`
- Converted Users in CPCU business stood at 58.5 Mn vs 29.6 Mn / 30.6 Mn in Q2FY22 / Q3FY21
- Average CPCU rate stood at INR 51.8 in Q3FY22 vs INR 51.3 / 41 in Q2FY22 / Q3FY21

Rating	TP (Rs)	Up/Dn (%)
BUY	1,487	15

Market data

Current price	Rs	1,294
Market Cap (Rs.Bn)	(Rs Bn)	172
Market Cap (US\$ Mn)	(US\$ Mn)	2,303
Face Value	Rs	2
52 Weeks High/Low	Rs	1511 / 763.02
Average Daily Volume	(000)	449
BSE Code		542752
Bloomberg		AFFLE.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	59.89	59.89
Public	40.11	40.11
Total	100	100

Source: BSE

Financial Summary

Y/E Mar (Rs mn)	FY 20	FY 21E	FY 22E	FY 23E	FY 23E
Net sales	3,338	5,168	10,677	13,864	16,131
EBITDA	879	1,297	2,127	2,901	3,533
Adjusted net profit	655	1,029	2,070	2,484	3,048
Free cash flow	1,179	1,061	2,117	3,039	3,563
EPS (Rs)	5.2	10.2	15.5	18.6	22.9
growth (%)	30%	95%	52%	20%	23%
P/E (x)	247.5	126.8	83.3	69.4	56.6
P/B (x)	75.2	48.0	14.8	12.2	10.0
EV/EBITDA (x)	195.4	132.6	77.9	56.0	45.2
ROCE (%)	27.4	19.7	12.4	14.3	15.3
RoE (%)	28.6	37.8	17.7	17.6	17.7
Dividend yield (%)	-	-	-	-	-

Source: Company

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Conference Call Key Highlights

- Operating Cash Flow for 9MFY22 surpassed OCF of full FY21 by 35%
- Geographic mix stood at 69% Global and 31% India in Q3FY22
- Employee cost increased by 18% qoq due to appraisal in October 2021 + manpower increase by 6% qoq
- ESOP cost of INR 13.58 Mn during the quarter
- Jampamp contributed to INR 1/3rd of consolidated revenue. Jampamp's EBITDA margins stood at 7-8% in Q3FY22 and improved from 5% odd in Q2FY22. One can expect this momentum of margin expansion to continue over the next 1 year as per In the 1st year – momentum will be maintain.
- Digital ad spend in India stands at 25% of total ad spends (TV ad spend is still a huge chunk in India). Going ahead, management is confident that advertisers will be compelled to shift to at least 50% of their budget towards digital ads and therefore there is massive headroom for growth in India. This trend exists globally as it has extremely high ROI versus other advertising mediums and it's a matter of time before it plays out in India as well.
- Globally, industry continues to grow at 25-30% and management is confident of this growth continuing for the next 3-5 years
- Current capabilities of Affle are not missing anything as current tech stack, offerings (for example Affle had one of the 1st offerings in the domestic connected TV market) and geographic reach are comprehensive and therefore management is not actively looking for any acquisitions. However, if some appealing opportunity comes up, management will not shy away from it.
- Cash Balance stands at INR 600 Cr+
- 86% of EBITDA is from Organic business
- Jampamp has grown at 30%+ qoq. Organic business grew at 45%+ yoy.

Quarterly Performance Analysis

Exhibit 1

Particulars	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22
Converted Users (Mn)	17.0	28.1	30.6	29.6	31.5	48.7	58.5
Q-o-Q Growth (%)	4%	65%	9%	-3%	6%	55%	20%
Y-o-Y Growth (%)	2%	52%	46%	82%	85%	73%	91%
Average CPCU (INR)	41.0	40.3	41.0	40.9	42.0	51.3	51.8
Q-o-Q Growth (%)	2%	-2%	2%	0%	3%	22%	1%
Y-o-Y Growth (%)	0%	-3%	0%	2%	2%	27%	26%
CPCU Revenue (Mn)	697	1132	1255	1211	1323	2498	3030
Q-o-Q Growth (%)	7%	62%	11%	-4%	9%	89%	21%
Y-o-Y Growth (%)	2%	47%	46%	85%	90%	121%	142%

Converted users stood at 58.5 Mn in Q3FY22 while Average CPCU rate stood at INR 51.8.

Converted Users grew at 20% qoq and 91% yoy. Average CPCU rate grew by 1% qoq and 26% yoy (non-comparable as Jammp was not present last year)

Source: Dalal & Broacha Research, Company

Exhibit 2 – Quarterly Trend of Active Deal Pursuits

Business Segments (as % of Total Revenue)	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22
Consumer Platform	98.1%	98.5%	98.3%	97.9%	98.8%	99.4%	99.1%
Enterprise Platform	1.9%	1.5%	1.7%	2.1%	1.2%	0.6%	0.9%
Total	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%

Consumer Plat form (as % of Consumer Plat form)	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22
CPCU	79.3%	85.2%	84.8%	87.3%	87.8%	91.6%	90.2%
Non-CPCU	20.7%	14.8%	15.2%	12.7%	12.2%	8.4%	9.8%

Consumer Plat form	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY21	Q2FY22	Q3FY22
CPCU	698.4	1132.5	1254.4	1210.0	1322.7	2501.2	3033.8
Q-o-Q (%)	7%	62%	11%	-4%	9%	89%	21%
Y-o-Y (%)				85%	17%	99%	151%
non-CPCU	182.3	196.7	224.8	176.0	183.8	229.4	329.6
Q-o-Q (%)	44%	8%	14%	-22%	4%	25%	44%
Y-o-Y (%)				39%	-7%	2%	87%
Total Consumer Plat form	881	1329	1479	1386	1506	2731	3363
Q-o-Q (%)	13%	51%	11.3%	-6.3%	9%	-24%	123%
Y-o-Y (%)				78%	13%	85%	143%

CPCU business reported a growth of 21% qoq and 151% yoy on the back of an already strong Q2FY22

Non-CPCU business grew 44% qoq and 87% YoY

Enterprise business reported a 85% qoq growth and 19% yoy growth

Source: Dalal & Broacha Research, Company

Valuation & Outlook

Affle continues to deliver a strong organic as well as inorganic performance. Organic growth was 45%+ yoy whereas inorganic (Jammp) growth was 30% on a sequential basis.

Profitability profile of Jammp, as per expectations, is on a positive trajectory and has improved from 5% last quarter to 7-8% in Q3FY22. Management continues to be headstrong about achieving 20%+ EBITDA margins in Jammp over the next 2 years.

Management indicated that company is well-equipped in terms of its capabilities, geographic reach and offerings (with no need of acquisitions at least in the medium term) in an industry with strong tailwinds for growth as ad spends shift from other mediums to digital.

Organic initiatives such as a entry into the Connected TV space in India and patents for next-gen technologies are yet to play out and massive triggers for Affle.

At current level of INR 1,294, the stock is trading at 69.2x / 56.4x FY23e / FY24e EPS. We rollover to FY24 estimates and maintain a BUY rating on the stock as we assign a multiple of 65x FY24e EPS to arrive at a target price of INR 1,491.

Profit & Loss Statement					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Revenue from Operations	3338	5168	10677	13864	16131
% Growth	34%	55%	107%	30%	16%
Operating Expenses					
Inventory and Data Costs	1921	2977	6682	8593	9880
Employee Benefit Expense	273	540	1242	1581	1800
Other Expenses	265	354	625	788	917
Total Operating Expense:	2459	3871	8549	10963	12597
EBITDA	879	1297	2127	2901	3533
Growth (%)	25%	48%	64%	36%	22%
EBITDA Margin (%)	26%	25%	20%	21%	22%
Less: Depreciation	133	197	326	370	370
EBIT	746	1100	1801	2531	3163
Growth (%)	24%	48%	64%	40%	25%
EBIT Margin (%)	22%	21%	17%	18%	20%
Interest Paid	14	36	12	10	9
Other Income	61	415	552	446	484
PBT	792	1479	2341	2967	3638
Tax Expenses	137	120	269	475	582
Net Profit	655	1359	2073	2492	3056
Adjust PAT	655	1029	2073	2492	3056
Growth (%)	34%	57%	101%	20%	23%
APAT Margin (%)	20%	20%	19%	18%	19%
EPS	5.2	10.2	15.6	18.7	22.9
Growth (%)	30%	95%	53%	20%	23%
Adj. EPS	5.2	10.1	14.0	18.7	22.9
Growth (%)	30%	94%	38%	34%	23%

Financial Ratio Analysis					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Profitability Ratios					
ROE (%)	29%	38%	18%	18%	18%
ROCE (%)	27%	20%	12%	14%	15%
ROA (%)	12%	12%	8%	9%	9%
Valuation Ratios					
Book Value (Rs.)	17	27	88	106	129
P/E (x)	248	127	83	69	57
P/BV (x)	75	48	15	12	10
EV/EBITDA (x)	195	133	78	56	45
Market Cap. / Sales (x)	52	33	16	12	11
Market Cap	1,72,366	1,72,366	1,72,366	1,72,366	#####
Net Cash	627	460	6621	9842	12510
Net Debt	-627	-460	-6621	-9842	-12510
Dividend Payout Ratio (%)	0%	0%	0%	0%	0%
Current Market Price	1294	1294	1294	1294	1294

Balance Sheet					
Particulars	FY20	FY21	FY22E	FY23E	FY24E
EQUITY					
Equity Share Capital	255	255	266	266	266
Other Equity	2037	3337	11395	13879	16927
Total Equity	2292	3592	11661	14145	17193
LIABILITIES					
Non-Current Liabilities					
Financial Liabilities					
Borrowings	281	893	593	543	493
Other Non-Current Financial Liabilities	118	1067	2177	2917	2917
Total Non-Current Liabilities	433	1998	2795	3485	3435
Current Liabilities					
Financial Liabilities					
Trade Payables					
Others	743	1256	2576	3154	3624
Total Current Liabilities	1276	1936	3421	4100	4621
Total Equity and Liabilities	4000	7526	17877	21731	25249
Non-Current Assets					
Property Plant & Equipment					
Gross Block	24	223	558	933	1313
Less: Depreciation	14	210	540	920	1300
Net Block	10	13	18	13	13
Goodwill	1107	3149	5900	6000	6100
Other Intangible Assets	474	425	425	425	425
Total Non-Current Assets	1689	5018	8368	8659	9122
Current Assets					
Financial Assets					
Trade Receivables	744	1079	2223	2659	3094
Cash and Cash Equivalent s	696	491	6193	9064	11382
Other Financial Assets	10	179	63	310	453
Total Current Assets	2321	2507	9509	13072	16127
Total Assets	4010	7525	17877	21731	25249

Cash Flow Statement					
Particulars	FY20	FY21	FY22E	FY23E	FY24E
PAT	655	1359	2070	2484	3048
Less: Non Operating Income	-61	-415	-552	-446	-484
Add: Depreciation	133	197	329	380	380
Add: Interest Paid	14	36	12	10	9
Operating Profit before WC Changes	742	1177	1859	2428	2953
(Inc)/Dec in					

7th February, 2022

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